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EDITORIAL

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INDIA: WHY IS A MIDDLE CLASS STRUGGLING TO EMERGE DESPITE RECORD GROWTH?

Due to robust economic growth, India's contribution to global GDP has increased by 1.8 times over the past twenty years, reaching 8.2% in 2025. However, this achievement conceals a significant issue: India is failing to develop a substantial, consumer-driven middle class. The underlying cause is the predominance of employment in low-value-added and largely informal sectors. The few high-value-added manufacturing sectors with strong job potential such as electrical equipment, electronics, automotive, chemicals and pharmaceuticals, are hindered by an unfavourable business environment, while a skills shortage is obstructing their advancement up the value chain. Furthermore, the highest-paying service jobs, particularly in IT, are threatened by artificial intelligence.

INDIA STRUGGLES TO DEVELOP A MIDDLE CLASS

India has one of the highest growth rates among the world's major economies (+7.3% annually over the past decade, excluding the pandemic), yet its consumer middle class remains surprisingly small. In current dollars, total consumption in India appears very high (USD 2,241 bn in 2025), but this figure is largely a reflection of the country's vast population. By way of comparison, it is 3.5 times lower than that of China, and per capita consumption at purchasing power parity (PPP) is 1.3 times lower than that of Indonesia, the Philippines and Vietnam.

According to our estimates¹, the middle class accounts for only 1.6% of India's population, equating to just 24 million people. This figure is lower than that of Thailand and Vietnam, each with over 30 million, and significantly less than China's middle class, which is estimated at 490 million people, or 35% of the population, using the same methodology. Furthermore, the disparity between urban and rural areas remains particularly pronounced, as urban households consume, on average, 1.6 times more than their rural counterparts. More than 60% of the Indian population consumes less than the national average. Only the top urban deciles, which represent only 5% of the total population, have genuine discretionary spending power. Although consumption patterns have evolved over the last decade, evidenced by a decline in the share of food spending (-4.3 percentage points, now at 34.8% of total spending) in favour of transportation and communications (+3.8 pp, now at 12.4%), purchases of durable goods, which account for only 7% of urban household spending, remain marginal. Furthermore, these purchases are increasingly financed by consumer credit rather than by rising incomes.

THE LABOUR MARKET SUFFERS FROM STRUCTURAL WEAKNESSES

This weakness in the middle class and in household consumption can be explained, in particular, by the structural weaknesses of the labour market. The employment rate, which stood at 52.7% in 2025 according to the International Labor Organization (ILO), is significantly lower than that of its Asian neighbours: 65.6% in Indonesia and 71.3% in Vietnam.

Over the past ten years, employment has experienced only modest growth (an average of +2.4% per year), while GDP growth has averaged nearly 6% per year (including the pandemic). The services sector, which accounts for 33.2% of employment, has been the primary driver of job creation (+3.2% per year), significantly outpacing the manufacturing sector (+1.4%) and agriculture (+0.1%), despite agriculture being the country's largest employer, accounting for 41.5% of the labour force. This trend is insufficient to absorb the 10 to 12 million new entrants to the labour market each year.

Furthermore, the traditional pathway for labour transition from agriculture to industry has become severely restricted. Over the past decade, employment in manufacturing has barely kept pace with growth: the employment elasticity with respect to growth reached only 0.1 for this sector. However, the contrast between the formal and informal sectors is striking: the employment elasticity of the formal manufacturing sector reached 0.7 over the same period. Consequently, the decline in informal employment, which accounts for 73.4% of total manufacturing employment (but only 38% of the sector's value added), has offset this positive trend. Furthermore, in labour-intensive sectors such as textiles, apparel and wood, the increase in value added stems primarily from productivity gains rather than job creation, which significantly limits the availability of low-skilled jobs in the country.

Several structural challenges hinder job creation in the manufacturing sector: an unfavourable business environment (particularly regarding access to land), the high cost of capital for SMEs, a lack of export competitiveness in labour-intensive sectors, which are penalised by less advantageous tariff conditions compared to the rest of Asia, and, above all, labour market rigidity, which obstructs the size of companies and, consequently, job creation (65% of companies have fewer than 50 employees).

INSUFFICIENT JOBS IN BOTH QUANTITY AND QUALITY

Not only is the number of jobs created insufficient, but their quality is also subpar, which adversely affects income growth and the development of a substantial middle class. According to the ILO, 87% of total employment is informal and concentrated in low-value-added, low-skilled roles. Approximately 20% of the population earns 79% of labour income. This concentration reflects the low skill level of existing jobs: 88.2% of Indian workers have jobs that require minimal or no skills. The issue is not a shortage of graduates but rather a mismatch between their education and the actual needs of businesses. This results in a gradual decline mobility among workers and a higher unemployment rate among graduates compared to those without a degree (13.5% versus 1.3% in 2025, according to the ILO).

The lack of skills that align with the demands of the labour market obstructs employment opportunities in the few high-potential manufacturing sectors. According to our econometric estimates, electronics and IT, electrical engineering, automotive, chemicals, and, to a lesser extent, pharmaceuticals exhibit strong growth, high employment elasticity, and high productivity (see chart). They therefore represent potential sources of high-quality jobs. However, these sectors remain largely underdeveloped: in 2025, they accounted for only 1.4% of jobs and 5.9% of India's GDP.

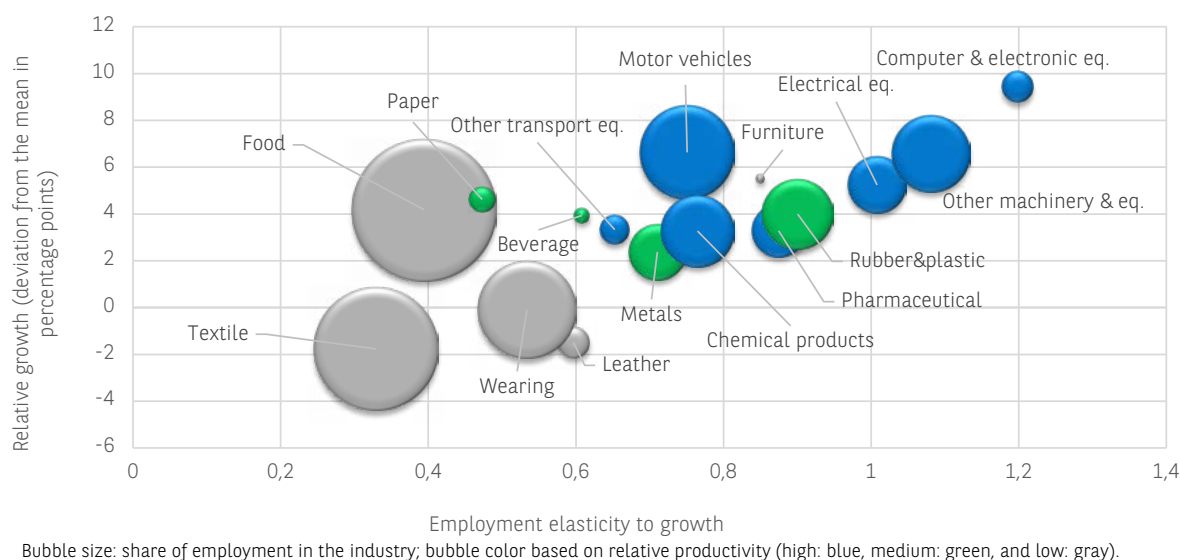
¹ We use the methodology of López-Calva and Ortiz-Juárez (2014), who define the middle class as households with a less than 4% probability of falling back into poverty within four years, and whose daily income ranges from \$17 to \$98 when adjusted for 2021 purchasing power parity (PPP). Due to the lack of reliable income surveys in India, these thresholds are applied to the consumer expenditure data provided by the World Bank. This approach to measuring real purchasing power tends to slightly underestimate the middle class in terms of income, as savings are not taken into account; however, it remains the metric used by the World Bank.



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Chemicals, automotive, pharmaceutical, electrical and electronic sectors show the strongest job-creation potential



CHART

SOURCE: ANNUAL SURVEY OF INDUSTRIES, BNP PARIBAS ESTIMATES

ARTIFICIAL INTELLIGENCE COULD LIMIT THE CREATION OF THE HIGHEST-PAYING JOBS IN THE SERVICE SECTOR

AI may also impede the creation of the highest-paying jobs, which are essential for expanding the middle-class consumer base.

Agriculture, construction, trade and transportation remain largely immune to direct job displacement due to AI. Therefore, the macroeconomic impact of the immediate shock is expected to be minimal. However, these sectors are characterised by the lowest wage levels. Conversely, IT, finance and insurance account for less than 3% of total employment but employ the most highly skilled workers. Ironically, these are the very segments most threatened by automation.

While sector-specific data does not currently indicate a widespread decline, there is a notable deceleration in job creation for routine tasks, as confirmed by a study conducted by the ICRIER (Indian Council for Research on International Economic Relations). Although new job roles are emerging, their number is expected to remain limited, particularly as the skills required surpass the capabilities of the existing graduate pool.

REFORMS ARE HEADING IN THE RIGHT DIRECTION BUT ARE INSUFFICIENT

Since 2019, the Modi government has rolled out a series of measures aimed at developing industry, attracting foreign direct investment, and integrating into global trade after decades of protectionist policies.

Corporate subsidy programs, such as Production-Linked Incentives, have bolstered the growth of the most promising sectors identified earlier. Similarly, the implementation of the labour reform, which came into force in late 2025, could facilitate business expansion and the creation of formal jobs. However, its actual impact will depend on its adoption by the states, which possess significant autonomy over labour law, and on its effective implementation at local level. The free trade agreement signed between India and the European Union in late January 2026 and anticipated to take effect in 2027 at the earliest, aims to

mitigate the tariff disadvantages faced by labour-intensive industries. The EU has pledged to abolish tariffs on Indian textiles and apparel, which currently range from 4% to 12%.

However, these measures alone will not suffice to create high-quality jobs unless the education system aligns with the needs of Indian businesses. It is therefore imperative that India continue to improve its business environment and reform its education system to promote job creation in high-paying, high-value-added sectors. Without concrete measures, the “demographic window”, which is expected to remain favourable for another 15 to 25 years, could close before India succeeds in establishing a solid industrial foundation and a substantial middle class.

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ADVANCED ECONOMIES

EUROZONE

Inflation strength seals ECB rate hike. Headline CPI inflation jumped to 3.3% in August (+0.5 pp m/m) on the back of a surge in energy prices. Industrial goods inflation (ex-energy) is firming, albeit from a low level (1.2% y/y). However, services (3% y/y) and food (1.2% y/y) inflation are softening. That said, non-energy producer prices are picking up. The overall PPI (excluding construction) jumped 1% m/m and rebounded by 5.8% y/y. The core PPI (excluding construction and energy) rose 3.1% y/y, and the 3m/3m annualised rate jumped to 7%, the highest since November 2022, driven by intermediate goods prices (+6.3% y/y). Retail sales slipped by 0.6% m/m in July, pulled down by German data. The unemployment rate held steady at 6.4%, with the Spanish jobless rate falling back to 10% for the first time since 2008.

Upcoming: ECB meeting (Thursday); third GDP estimate for Q2 (Monday).

- France

Mixed news keeps OATs under pressure. The August manufacturing PMI was revised up to 51.1 (vs. flash: 50.7; July: 48.5) but the composite index was driven further down to 48.5 (flash 48.8; July: 49.4) by a lower reading on services (48; flash: 48.4; July: 49.6), where activity has been contracting for 8 consecutive months. More positively, passenger car sales increased in August by 7.5% y/y (+3% YTD), with EVs reaching 38% of the total. Moreover, the fiscal deficit improved slightly in July. Still, the OAT yield edged up driven by Germany (with spread hovering near multi-year highs at 86/87).

Upcoming: Insee GDP forecast update (Friday).

- Germany

Contained inflation acceleration despite solid August activity data. HICP inflation accelerated to 2.9% y/y in August (2.8% in July), below the consensus forecast (3.1%). Core inflation was stable at 2.6%. August PMIs were revised upward from already strong flash prints: Composite: 51.8 (vs. 51.0 flash and 51.3 in July) Manufacturing: 54.3 (vs. 54.1 flash and 52.2 in July), a stronger improvement than expected, with robust growth in new orders driving production to its highest level since early 2022, driven by the intermediate goods sector. Industrial job losses are declining at a slower rate than last month, suggesting that the situation is stabilising after three years of workforce reductions. Services only improved to 49.7 (vs. 48.5 flash and 49.8 in July). Furthermore, new car registrations grew by +2.6% y/y and +4.8% YTD. BEVs (battery electric vehicles) recorded the strongest growth (+75.1%), while gasoline registrations plunged (-37.9%). In July, retail sales unexpectedly fell, while factory orders surged, growing +13% YTD. However, industrial production fell in July for the first time since March 2026 (-1.1% m/m after +0% in June), driven by a sharp decline in manufacturing (-2.3% and the lowest level since May 2020), particularly in automotive production (-8.3% m/m). According to the economic institute IW, FDI into Germany grew by 50% y/y in 2025, driven by a whopping 284% increase in FDI from the UK, which more than offset the 44% decline in FDI from the US.

- Italy

Inflation accelerates as services sector outperforms the rest of Europe. August headline inflation accelerated to 3.2% (2.9% in July) but core edged down to 1.7% (vs. 1.8% in July). The services PMI rose to

55.2 in August from 52.5 in July — the highest reading since April 2023 and a third consecutive month of expansion. New business rose to 55.6. The composite PMI climbed to 53.6 from 52.5. Manufacturing PMI was weaker: 49.6 (-1.7 m/m; lowest since January 2026). Weak domestic demand has led to a fall in new orders to their lowest level since March 2025. Nevertheless, businesses remain confident about the future and are stepping up recruitment (+1.7 m/m; highest level since April). On the price front, both input and final output prices are falling.

- Spain

Strong inflation surprise and services activity. Headline CPI inflation accelerated to 4.5% in August (3.9% in July), while core slowed to a still robust 3.5% (3.7% in July). PMIs showed activity expanding at a slower pace overall (composite at 55.8, -0.8 m/m), with services remaining strong (at 57.8, -0.5 m/m) and manufacturing falling into contraction (to 49.5, -0.7 m/m and its lowest level since March 2026).

UNITED STATES

Bullish data increase odds of Fed September hike. August payrolls blew past all estimates with 162,000 jobs added in August. The unemployment rate held steady at 4.1%. June and July's weak job creations were revised up by 55,000. Average hourly earnings rose 0.3% month-on-month, in line with estimates. President Trump reacted to the "great jobs number" by explicitly calling the "Fed Board, with its great new leader" to lower the policy rate. Meanwhile, ISM surveys held firmly in expansion territory in August. The manufacturing index eased to 54.6 (down 1.0pp) but has expanded in every month of 2026 so far after contracting in 36 months out of 38; non-manufacturing improved to 55.4 (up 1.3pp). Supply pressures, however, remained acute (measured by prices-paid gauges and supplier delivery times). The US trade deficit widened 24.4% to \$88.6 billion in July — the largest since early 2025 — driven by an 11.4% surge in capital goods imports (computers and semiconductors). Exports fell 2.1%. Based on Fed chair Warsh's hawkish framing in Jackson Hole and other more dovish FOMC members' comments since, markets are now pricing a 60% probability of hike. Next week's CPI print will be key.

Trust issues? Neither institution framed it as such, but this week saw a decision by the Dutch Central bank to remove a chunk of its gold holdings from New York (following a similar move by the Bank of France completed in March), while Norway's sovereign wealth fund offered the government to reduce by 12% the weight of US Treasuries in its asset allocation (in favor of other US fixed income assets). If approved, this would lead to a \$80 bn reduction in its holdings of Treasuries.

Upcoming: August PPI and Existing Home Sales (Thursday); August CPI Inflation (Friday).

JAPAN

Hawkish BOJ, a firmer yen, and higher JGB yields. Increasingly pressured by high inflation, weakening FX and, as of this week, the US Secretary of the Treasury, the Bank of Japan multiplied signals that it was set to accelerate the pace of normalisation, with a September hike being now the base case. The yen had its best week since July, appreciating sharply to USDJPY 156, from above 160 a week earlier. This move reflects reports about a possible further intervention and growing confidence about an imminent BoJ rate hike. The 10-year JGB yield rose above 3% on a combination of external (global bond



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sell-off) and domestic (prospect of an expansionary FY2027 budget implying additional issuance) factors, before retreating somewhat.

EMERGING ECONOMIES

EMERGING EUROPE, MIDDLE EAST & AFRICA

- Central Europe

Continued expansion in manufacturing, Poland excepted. August PMIs improved in Czech Rep. and Romania. In Hungary, the index was little changed (51.3). Poland remains the outlier with continuous contraction since May 2025, in stark contrast to its growth outperformance in the region.

- Türkiye

A welcome growth rebalancing. In Q2, real GDP growth accelerated to 1.1% q/q thanks to a strong contribution of net exports (+1.6% q/q). Private consumption contracted by 1.3% q/q in line with credit softening, and investment in machinery & equipment rebounded (+2.4%). In year-on-year terms, GDP growth slowed from 2.6% to 2.3%. This growth rebalancing is welcome both for external accounts and price stability (in August, CPI inflation was +1.8% m/m and 31.5% y/y). *Upcoming: interest rate decision (Thursday).*

- Gulf countries

Non-oil activity continues to recover. The UAE and Kuwait saw the strongest increase in August. The UAE's PMI reached 55.3, its highest level since December 2024 while Kuwait's PMI remained above 50 for the second month in a row (53.6 in August). Saudi Arabia's PMI also rose to a six-month high of 53.8, although activity remains below its long-run trend. By contrast, Qatar continues to suffer; its PMI declined from 48.5 to 47.6.

- Senegal

Debt restructuring and preliminary agreement with the IMF reached. The IMF will provide USD 2.2 bn of financial support over three years, conditional on strong fiscal consolidation measures.

ASIA

- China

Isolated at the G20 as services activity rebounds and the yuan firms to a multi-year high. The US accused China of scuppering consensus at the (US-hosted) Finance Ministers and Central Bank Governors G20 meeting by refusing to sign up to eliminate non-market policies and practices that exacerbate imbalances, as well as objecting to language about the smooth functioning of global supply chains for critical inputs (China blamed the US in return). China's services PMI published by RatingDog rose to 51.4 in August from 50.4 in July, above expectations, contrasting with signs of weak domestic demand across the broader economy. USD/CNH dipped to 6.7095, its lowest level since early 2023. In the first seven months of 2026, the volume of housing sales contracted by 13% y/y (after -10% in 2025). New measures to reduce the risk of unfinished building projects and improve confidence in the residential property market were unveiled by the authorities.

Upcoming: August inflation (Wed).

- India

Upside growth surprise but recent weakening in momentum. Real GDP grew by 7.8% y/y in Q1 FY2027, with services accounting for around 66% of real GVA growth, while a marked pickup in bank credit supported resilient household consumption and a sharp acceleration in investment. Exports also provided a significant boost (+12% y/y), led by a 24% increase in machinery and electrical equipment export volume, reflecting India's growing role in global electronic equipment and smartphones supply chains. Yet, momentum in manufacturing activity weakened in August, with the PMI falling to 52.8 from 53.5 in July, its lowest level in five years.

- Southeast Asia

Manufacturing remains resilient, driven by electronics/AI-related external demand, despite a slight loss of momentum. The ASEAN manufacturing PMI eased to 52.3 in August from 52.8 in July, supported by sustained growth in output and new orders. The Philippines outperformed with its PMI surging to 54.9 from 51.8, the strongest reading since December 2016. Vietnam's PMI also rose to 53.3, its highest level since February. Thailand's PMI remained one of the region's strongest in August (53.8). Malaysia's expansion weakened (the PMI declined to 50.2) while Indonesia lagged with the PMI slipping back below 50 to 49.8.

- South Korea & Taiwan

IA-driven windfall increases fiscal policy leeway. In South Korea, 2027 fiscal revenue is expected to rise by 30%, supported by semiconductor-driven tax receipts; the government's budget prioritises long-term growth, addresses economic polarisation, and aims to strengthen fiscal sustainability. In Taiwan, the boom in exports of AI goods has also led to a strong rise in fiscal revenue, which translates in narrower fiscal deficits and greater spending. The government recently proposed a 18% increase in defence spending in the 2027 budget as well as a 40% in social welfare spending. In both Taiwan and South Korea, the manufacturing PMI declined slightly in August but remained largely above 50.

LATIN AMERICA

- Brazil

Growth slowdown. Real GDP increased by 2.0% y/y in Q2 2026, but growth slowed sharply on a q/q basis to 0.5% in Q2 from 1.1% in Q1. Private consumption was weak (-0.4% q/q in Q2) while agriculture and external demand provided some support. The manufacturing PMI weakened meaningfully in the summer (to 47.5 in July and 46.3 in August), and the short-term growth outlook is sluggish.

- Chile

Weaker copper output adds to concerns over tightening global supply. July marked another weak month (-9.4% y/y), with production down by close to 7% in the first seven months of the year.

COMMODITIES

New highs for energy prices across the board. Brent prices rose by 7.2% over the week to 97\$/b, the highest level since end-July. US SPR continue to decline at a fast pace (-3.1 mb w/w for the week ending 28th August). **Diesel crack spreads** reached new highs this week both in Europe (84 \$/b) and in the US (> 100\$/b). **LNG** prices hit new highs since 2023 in Europe (TTF reached 75 €/MWh during the week before declining to 74 €/MWh) and in Asia (24 USD/mbtu for JKM).



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MARKETS OVERVIEW

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Bond Markets

	In %	In bps			
	04/09/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.93	+7.6	+21.6	+84.4	+98.1
Bund 5Y	3.06	+9.7	+23.9	+59.2	+83.2
Bund 10Y	3.31	+9.1	+22.3	+44.7	+63.0
OAT 10Y	4.08	+6.3	+29.3	+58.3	+57.9
BTP 10Y	4.15	+11.1	+32.2	+64.8	+55.5
BONO 10Y	3.72	+5.9	+22.9	+47.3	+46.9
Treasuries 2Y	4.38	+15.9	+19.2	+90.3	+73.7
Treasuries 5Y	4.54	+13.8	+21.6	+81.6	+91.2
Treasuries 10Y	4.77	-1.2	+15.2	+60.8	+3.2
Gilt 2Y	4.44	+5.0	+18.6	+68.7	+48.3
Treasuries 5Y	4.64	+3.5	+19.9	+79.3	+52.2
Gilt 10Y	5.14	-3.9	+16.2	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	04/09/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.16	-0.4	+0.8	-1.1	-0.2
GBP/USD	1.35	-0.9	+0.5	+0.5	+0.6
USD/JPY	156.13	-1.9	-0.9	-0.4	+5.0
DXY	99.18	+0.2	-0.7	+0.9	-1.1
EUR/GBP	0.86	+0.5	+0.3	-1.6	-0.8
EUR/CHF	0.94	+0.5	+1.0	+1.1	+0.3
EUR/JPY	181.36	-2.3	-0.1	-1.5	+4.8
Oil, Brent (\$/bbl)	96.34	+4.5	+21.4	+58.3	+43.8
Gold (\$/ounce)	4444	-4.9	+8.8	+2.8	+25.3

Equity Indices

	Level	Change, %			
	04/09/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World (\$)	4987	+0.6	+0.2	+12.6	+19.0
North America					
S&P500	7719	+0.9	-0.2	+12.8	+18.7
Dow Jones	53414	-0.0	-1.2	+11.1	+17.1
Nasdaq composite	26507	+2.0	-0.3	+14.0	+22.1
Europe					
CAC 40	8279	-2.1	-4.5	+1.6	+7.5
DAX 30	26046	-0.2	-0.6	+6.4	+9.6
EuroStoxx50	6393	-0.9	-1.4	+10.4	+19.6
FTSE100	10831	-0.2	-0.4	+9.1	+17.5
Asia					
MSCI, loc.	1970	+0.5	+2.1	+16.6	+25.5
Nikkei 225	65021	-0.8	+1.7	+29.2	+52.7
Emerging					
MSCI Emerging (\$)	1726	+1.9	+4.5	+22.8	+36.8
China	74	+0.2	-2.0	-9.8	-8.8
India	953	-0.1	-1.6	-10.0	-6.6
Brazil	1947	+7.6	+3.8	+18.3	+30.9

Performance by sector

Eurostoxx600

Year 2026 to 4-9, €

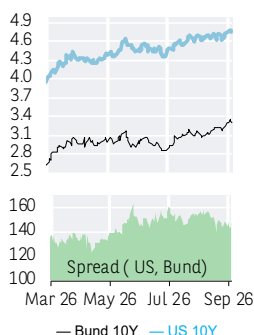
+33.1%	Oil & Gas
+29.9%	Commodities
+22.5%	Banks
+20.7%	Technology
+16.3%	Chemical
+11.3%	Telecoms
+10.2%	Industry
+9.7%	Eurostoxx600
+9.6%	Financial services
+8.4%	Insurance
+7.6%	Utilities
+0.9%	Retail
+0.7%	Food industry
-0.6%	Health
-1.5%	Real Estate
-1.6%	Travel & leisure
-2.4%	Construction
-3.5%	Media
-12.5%	Consumption Goods

S&P500

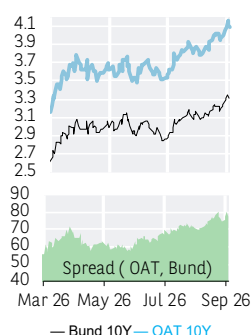
Year 2026 to 4-9, \$

+41.6%	Energy
+38.3%	Semiconductors
+31.4%	Tech. Hardware & Equip.
+17.9%	Pharmaceuticals
+15.2%	Capital Goods
+14.7%	Materials
+12.8%	S&P500
+12.0%	Food, Beverage & Tobacco
+10.8%	Bank
+6.4%	Consumer Discretionary
+5.3%	Insurance
+5.2%	Telecoms
+3.9%	Retail
+0.4%	Media
+0.3%	Utilities
-1.4%	Healthcare
-2.3%	Consumer Services
-3.1%	Commercial & Pro. Services
-18.6%	Automobiles
-25.4%	Real Estate

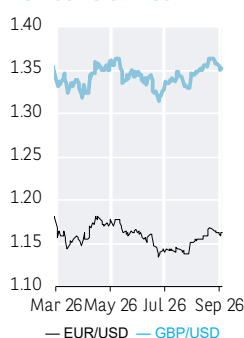
Bund 10Y & US Treas. 10Y



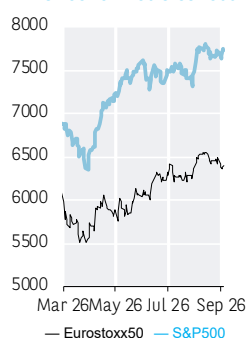
Bund 10Y & OAT 10Y



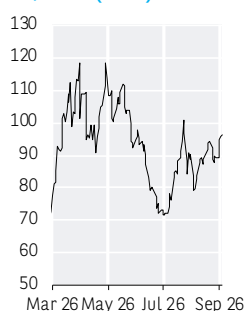
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



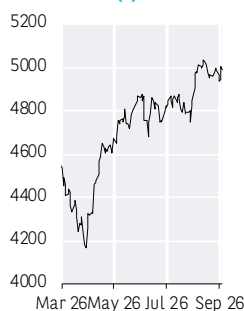
Oil, Brent (\$/bbl)



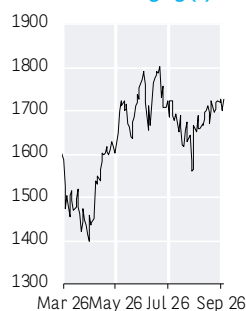
Gold (\$/ounce)



MSCI World (\$)



MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB



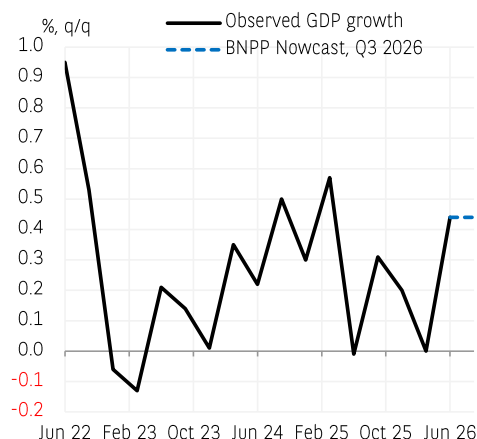
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NOWCASTS OF THE ECONOMIC RESEARCH

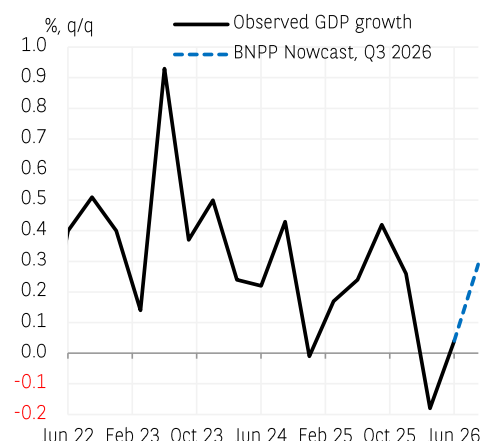
Eurozone



Source: Refinitiv, BNP Paribas

Our nowcasts for Eurozone growth point to resilient growth in Q3 (+0.4% q/q) driven by the improvement in the PMI surveys.

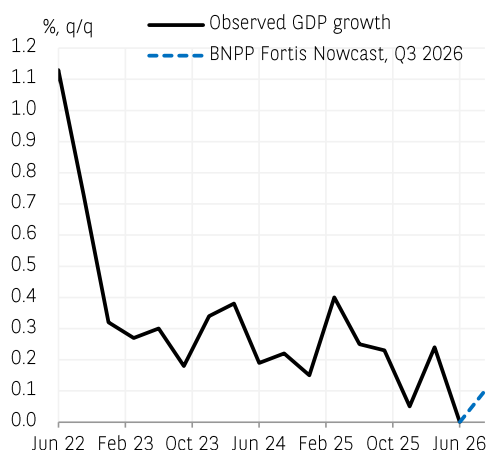
France



Source: Refinitiv, BNP Paribas

Our nowcast for French GDP growth suggests a recovery in Q3 2026, at +0.3% q/q, albeit the impact of the heat wave on agricultural production is a downside risk.

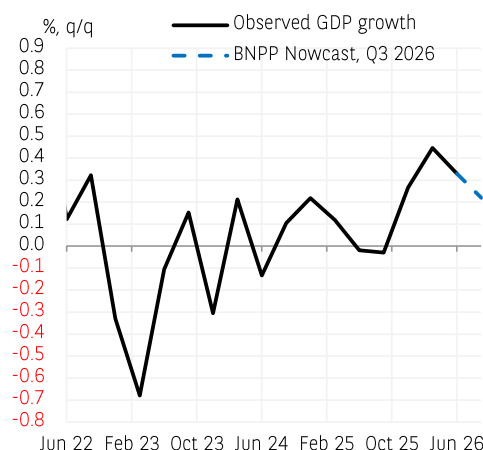
Belgium



Source: Refinitiv, BNP Paribas Fortis

Our nowcast for Belgium GDP growth suggests a mere growth performance in Q3 (0.1% q/q, after 0% in Q2). The business climate is low, as inflation pressures bind.

Germany



Source: Refinitiv, BNP Paribas

Our Germany nowcast indicates that growth should slow slightly in Q3 to +0.2% (after +0.4% in Q1 and +0.3% in Q2). It is expected to remain supported by exports. Industrial production remains strong at the start of the quarter but could be affected by the weather conditions recorded in August.

Read the [Nowcast methodology](#)
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth				Inflation			
	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.2	2.5	2.9	2.7	3.3	2.4
Japan	-0.2	1.1	0.9	1.2	2.7	3.1	2.0	2.5
United Kingdom	1.0	1.4	1.2	1.2	2.5	3.4	3.2	3.2
Euro Area	0.9	1.5	0.9	1.6	2.4	2.1	2.7	2.6
Germany	-0.5	0.3	1.0	1.0	2.5	2.3	2.6	2.7
France	1.1	0.9	0.5	1.1	2.3	0.9	2.2	1.6
Italy	0.6	0.7	0.9	0.8	1.1	1.6	2.5	1.9
Spain	3.5	2.8	2.6	2.2	2.8	2.7	3.6	3.3
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.6
India*	7.2	7.8	6.7	6.9	4.6	2.1	5.0	4.6
Brazil	3.4	2.3	2.3	1.4	4.4	5.0	4.5	4.8

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 07/09/2026

* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026			2027
		Spot 05/09	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	4.00	4.25	4.50
	T-Note 10y	4.77	4.65	4.75	4.85
Eurozone	deposit rate	2.25	2.50	2.75	2.75
	Bund 10y	3.31	3.20	3.35	3.10
	OAT 10y	4.08	4.00	4.17	3.60
	BTP 10y	4.15	3.95	4.10	3.60
UK	BON0 10y	3.72	3.64	3.79	3.42
	Base rate	3.75	4.00	4.00	3.50
Japan	Gilts 10y	5.13	4.60	4.50	4.30
	BoJ Rate	1.00	1.25	1.50	2.00
	JGB 10y	2.88	2.85	2.85	3.10
Exchange Rates		2026			2027
		Spot 05/09	Q3	Q4	Q4
USD	EUR / USD	1.16	1.15	1.16	1.20
	USD / JPY	156	163	165	165
	GBP / USD	1.35	1.32	1.32	1.36
EUR	EUR / GBP	0.86	0.87	0.88	0.88
	EUR / JPY	181	187	191	198
Brent		2026			2027
		Spot 05/09	Q3	Q4	Q4
Quarter Average					
Brent	USD/bbl	96	72	78	79

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 07/09/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.3% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to start a cycle of three rate hikes (+25pb each) at the September 2026 FOMC meeting, bringing the Fed Funds target range at 4,25% - 4,50% in January 2027.

CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and household confidence remains low. Fiscal policy measures aimed at supporting economic growth are expected to increase in the second half of the year. CPI inflation rebounded slightly in H1 2026, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth would slow to 0.9% in 2026 due to a weak Q1 (mainly due to the volatility of Ireland's GDP data), but quarterly activity is expected to be solid in the following quarters (+0.4% q/q in Q3 and Q4 2026), despite the Middle East conflict. Growth would then pick up at 1.6% in 2027. We expect the euro area to withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. Inflation would rebound to 2.7% in 2026 (compared to 2.1% in 2025) on the back of the energy shock and would plateau at 2.6% in 2027. Against the backdrop of persistent inflation and resilient economic activity, our baseline scenario forecasts two additional 25-basis-point hikes in the ECB's policy rate – in September and December 2026 – bringing the deposit-facility rate to 2.75%.



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FRANCE

GDP growth remained low in Q2 (0% after -0.2% in Q1) as a result of deteriorated agricultural and construction output, as well as higher inflation (2.2% in 2026 according to our forecast, after 1% in 2025). In 2026, GDP growth should reach 0.5% (after 0.9% in 2025), driven mainly by exports.

UNITED KINGDOM

UK GDP growth is expected to ease slightly to 1.2% in 2026 from 1.3% in 2025. Activity proved more resilient than expected in H1, expanding by 0.6% q/q in Q1 and 0.4% in Q2, leaving a statistical carry-over of around 1.1% y/y if output remains at its June level. Services remained the main growth driver, while Q2 also benefited from temporary factors, including favorable weather and the World Cup. The outlook appears much weaker for H2, with quarterly growth expected to remain subdued as higher energy prices, weaker purchasing power, tighter monetary policy and political tradeoffs should weigh on activity. Renewed energy-related inflationary pressures are expected to push inflation to 3.2% on average in 2026, reaching 3.8% in Q4 and peaking at around 4% in Q1 2027. Inflation should remain above target at 3.2% in 2027, prompting a 25bp BoE rate hike in H2 2026. Ten-year gilt yields should remain elevated in 2026 before falling to around 4.30% in 2027, supported by lower net supply, easing political risk premia and markets gradually pricing BoE rate cuts.

JAPAN

We expect annual GDP growth to stand at 0.9% in 2026, down from 1.2% in 2025. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshoot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.0% so far (previously negative) – the highest since 1995. We expect three hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of +2.5% is reached in H2 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.16 by Q4 2026 and 1.20 by Q4 2027. We anticipate a depreciation of the yen and the GBP against the dollar in 2026 (USD/JPY 165 and GBP/USD 1.32 by Q4 2026) and 2027.



Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those of the war in Ukraine and the subsequent energy shock?

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard features charts and comments that will be updated on a monthly basis for as long as necessary.

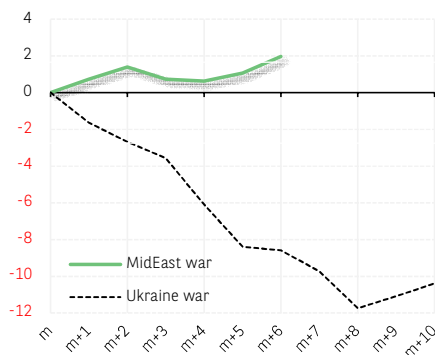
Overall, based on data available through August 2026, the inflationary impact and the negative effect on activity of the current energy shock remain significantly lower than the 2022 shock. Due to renewed tensions in the conflict in Iran and, consequently, on hydrocarbon prices, inflation is moving up again, but still in a limited way for now and driven solely by energy prices. Overall, confidence surveys do not show any signs of these negative trends.

In the euro area, the continued improvement in the business climate in the manufacturing sector and in consumer confidence is noteworthy. In the United States, economic activity continues to shrug off the energy shock. Emerging economies also continue to show resilience, particularly in terms of financing conditions. In the gas and oil markets, the balance is precarious and is keeping prices at a high level.

The positive signs in the Eurozone

August 2026: Business confidence in the manufacturing sector remains well-oriented

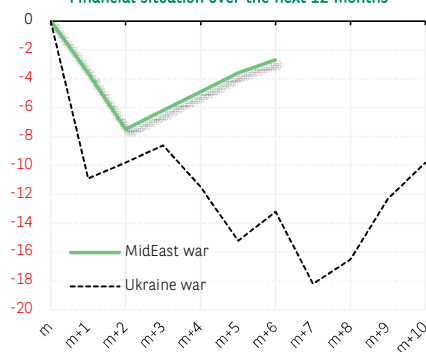
Eurozone: Manufacturing PMI



Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

August 2026: Consumer confidence continues to improve

Eurozone: Consumer confidence
Financial situation over the next 12 months



Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

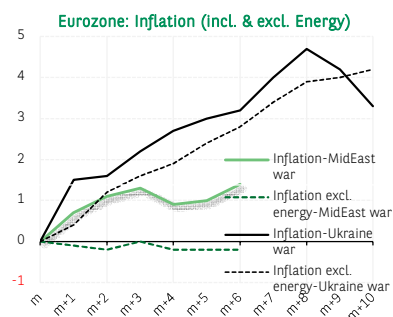


Eurozone: Inflation rises further, driven by energy prices but inflationary pressures are easing further; and confidence surveys continue to improve

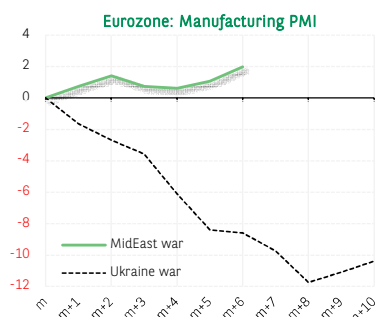
We have selected two inflation measures (with and without energy) and six survey indicators: 1/ business confidence, as measured by the PMIs in the manufacturing and 2/ services sectors; 3/ the "input prices" and 4/ "output prices" components of the composite PMI (in order to identify direct inflationary pressures); 5/ the "suppliers' delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); 6/ household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month $m=0$, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month $m=0$.

The overall picture from the data available for August is positive in terms of confidence surveys and reinforces the encouraging signs seen in previous months. According to PMI surveys, inflationary pressures continue to ease, while supply-side tensions have stabilised. Business sentiment in the services sector remains stable, anchoring its previous gains, while confidence in the manufacturing sector shows a further—and marked—improvement. Another notable and encouraging development is the recovery in consumer confidence for the fourth consecutive month. The feared relapse in these various indicators, due to renewed tensions in the Middle East, did not materialize—at least not in August. As for inflation, it continues to rise (+0.4 percentage points, to 3.3% year-over-year), as expected, driven by energy prices, but the increase remains limited in that it has not spread to non-energy inflation, which remains stable at 2.2%.

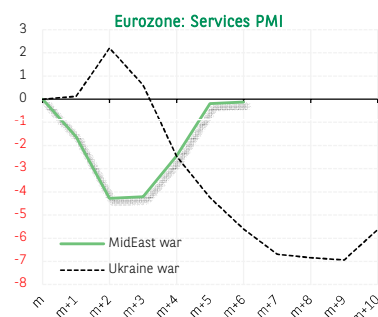
August 2026: Limited rise in inflation, driven by energy prices (bis)



August 2026: Business confidence in the manufacturing sector remains well-oriented

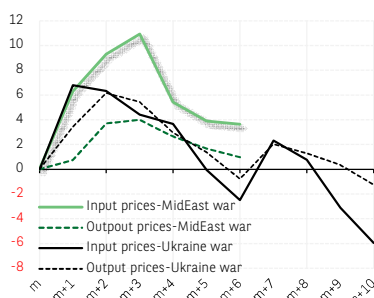


August 2026: Business confidence in the services sector anchors its improvement



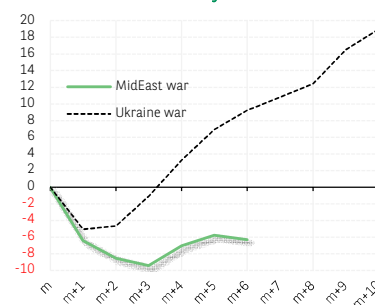
August 2026: Price pressures continue to abate

Eurozone: Composite PMI — Input and output prices



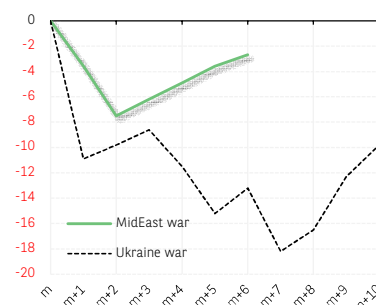
August 2026: Supply-side tensions are stabilising

Eurozone: Manufacturing PMI — Suppliers' delivery times



August 2026: Consumer confidence continues to improve

Eurozone: Consumer confidence Financial situation over the next 12 months



Change since $m = 0$ = February 2026 / February 2022.

Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas



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United States: Activity shrugs off the energy shock

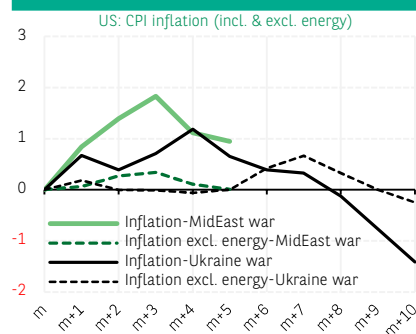
The US economy has held up well since the shock began. Consumption and business investment grew at a 4.1% annualized pace in Q2. At the same time, the scope for energy-driven disinflation has narrowed: WTI (the US reference) has averaged USD 82/bbl since 8 July, ranging between USD 72-92.

CPI rose 0.1% m/m in July, reversing June's -0.4% drop. The year-on-year rate eased to 3.4% (down 0.1pp) but remained 1.0pp higher than in February – the last pre-war reading. Energy accounts for the entire gap: its contribution to the annual rate was negligible in February and stood at 1.0pp in July. Inflation excluding energy reached 2.55% y/y in July (down 0.1pp), unchanged from February. Macroeconomic conditions remain far less inflationary than in 2022, although small businesses have raised their pricing intentions.

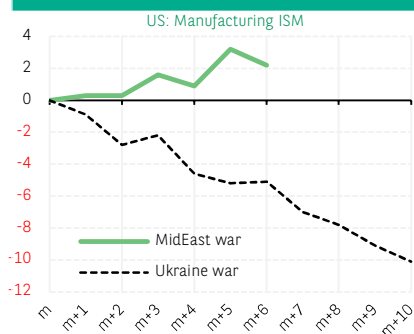
Business sentiment strengthened despite the shock. The ISM manufacturing index has remained in growth territory without interruption since January 2026, following 36 months of contraction out of 38. Input prices – a leading indicator of inflation – and delivery times have tightened further, as the Middle East situation compounds existing pressures from steel and aluminum prices, tariffs, and input availability.

Household confidence remains deeply depressed – a long-standing trend – and sensitivity to gasoline prices rules out any improvement in the near-term. Real consumer spending, however, has never contracted monthly since the onset of the conflict.

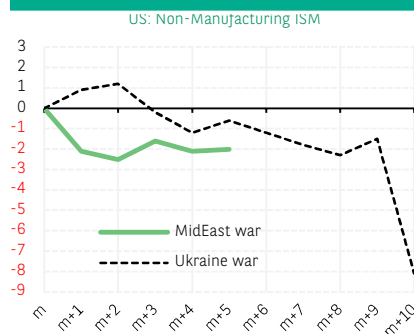
July 2026: Inflation excluding energy back at its pre-war level



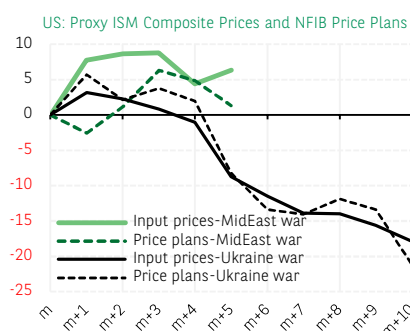
August 2026: Manufacturing activity firmly anchored in expansion territory



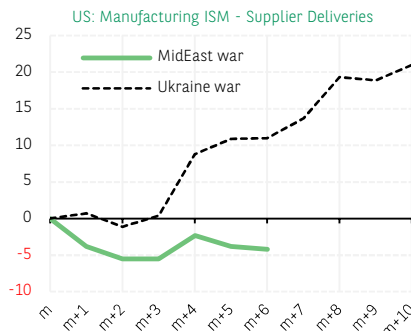
July 2026: Business sentiment holds up in services



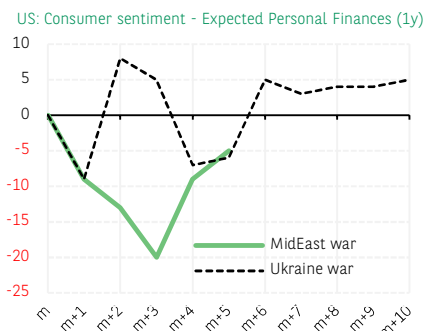
July 2026: Persistent pressure on input prices



August 2026: Supplier delivery times lengthen again



July 2026: Concerns over household finances ease again



Change since m = 0 = February 2026 / February 2022.
Unit: Inflation change in percentage point, point for confidence surveys.

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas



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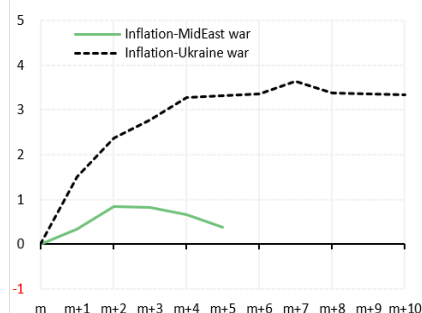
Emerging economies: Good resilience, especially regarding financing conditions

Inflation eased in June and July. The average CPI inflation rate across the fifteen leading emerging economies fell to 4.3% year-on-year in July, down from 4.8% in April. The inflationary impact remains weaker than in 2022, due in particular to reduced spillover effects on agricultural and food prices. Manufacturers' views on the trend in input and finished product prices have returned to their pre-conflict levels. However, against a backdrop of increasingly frequent and destructive extreme weather events, pressure on agricultural and food prices is likely to continue.

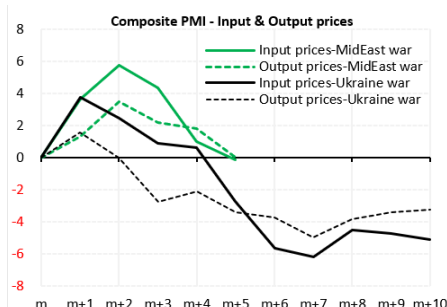
Furthermore, the manufacturing PMI index deteriorated slightly in July and remains below its February 2026 level. The decline in activity was less severe than in 2022, but the recovery is sluggish.

According to estimates by the Institute for International Finance (IIF), non-resident portfolio investment flows into emerging markets have been particularly volatile since the start of the armed conflict, reflecting investor nervousness. Looking at cumulative figures since February provides a clearer picture of the trends. In the equity markets, outflows persisted until July. By contrast, investors have returned to the local bond markets (an average of USD 30 billion per month since April). Domestic interest rates and risk premiums have performed very well.

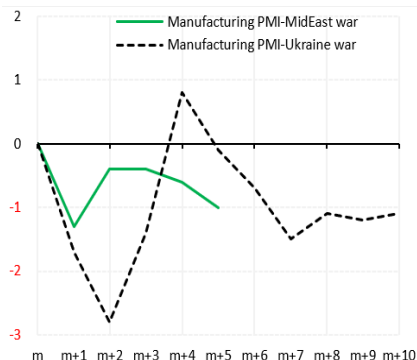
July 2026: A slowdown for consumer price inflation ...



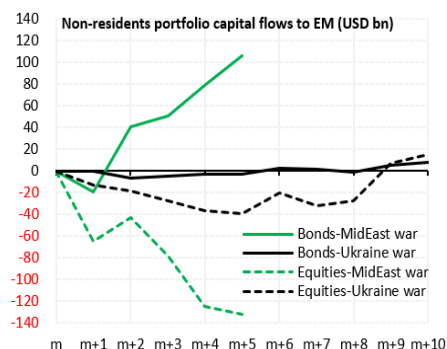
July 2026: and upstream prices



July 2026: A painful recovery in economic activity



July 2026: A rapid and massive return of foreign investors to the bond markets



Change since m = 0 = February 2026 / February 2022.

Unit: inflation change in percentage point, point for confidence surveys.

Cumulative change since m = 0 = February 2026 / February 2022

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas



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Oil & gas: A fragile market equilibrium maintains elevated price levels

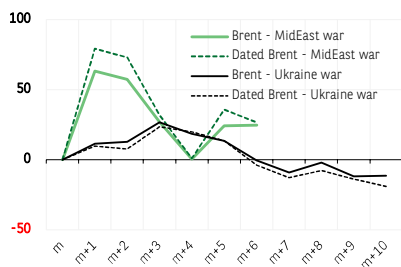
Oil and gas markets remain volatile and followed different trajectories during August. The gas market does not benefit from the buffers in place in the crude oil market. Oil prices have stabilised at a high level, widening the gap compared to the 2022 crisis. While the increase in gas prices remains lower than that seen following Russia's invasion of Ukraine, the pace of the price increase is high.

Oil: Brent oil prices stabilised at a high level during August, in the absence of further military escalation and supported by increased flows passing through the Strait (bypass pipelines and trade shuttle (tanker convoy escorted by US navy)). The spread between the Brent futures price and the physical price (Dated Brent) has remained narrow since early June, driven by the use of bypass, the accelerated drawdown on OECD inventories (notably US SPRs), and declining Chinese oil imports.

Gas: European spot gas prices (TTF) have risen significantly over the past month for two main reasons: 1/ the lack of recovery in LNG flows exiting the Gulf (unlike crude oil), and 2/ increased competition in the LNG market between Europe, which is replenishing its pre-winter stocks, and Asia, where demand remains high during the summer months.

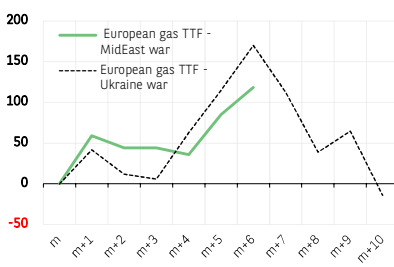
Electricity: The rise in European wholesale electricity prices accelerated during the summer due to successive heatwaves. These heatwaves increased electricity demand and, furthermore, nuclear power production was constrained by heatwaves and drought conditions in certain Central European countries and in France to a lesser extent. In this context, the reliance on more expensive resources (gas) is driving electricity prices upward.

August 2026: Crude oil prices stabilize at a high level



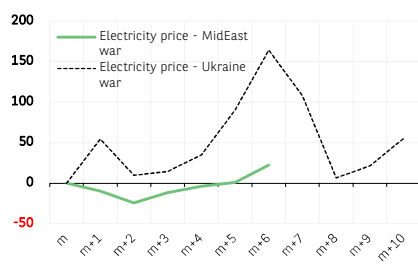
Note: change % since 02/27/2026 - 02/23/2022; last price 08/31/2026

August 2026: Persisting tensions on the European gas market



Note: change % since 02/27/2026 - 02/23/2022; last price 08/31/2026

August 2026: Heatwaves fuel wholesale electricity prices inflation in Europe



Note: change % since 02/2026 - 02/2022; last price 08/31/2026

Source: Bloomberg, Ember, BNP Paribas



GDP growth is stronger than thought

Stéphane Colliac

Statistical agencies often revise growth figures a posteriori, and generally upwards. But this takes time, as their data often become more comprehensive and accurate after two years. France is seeing the largest upward revisions over this timeframe, and, generally, these revisions are more pronounced in Europe than in the United States.

Our study focuses on 2023 and 2024, two years for which statistical agencies have more information (growth figures have already, in most cases, been revised), and the figures are compared to pre-COVID levels (an average of 2017–2019). The COVID-19 period, which was inherently disruptive, is excluded from the study.

Repeated shocks delay the positive diagnosis

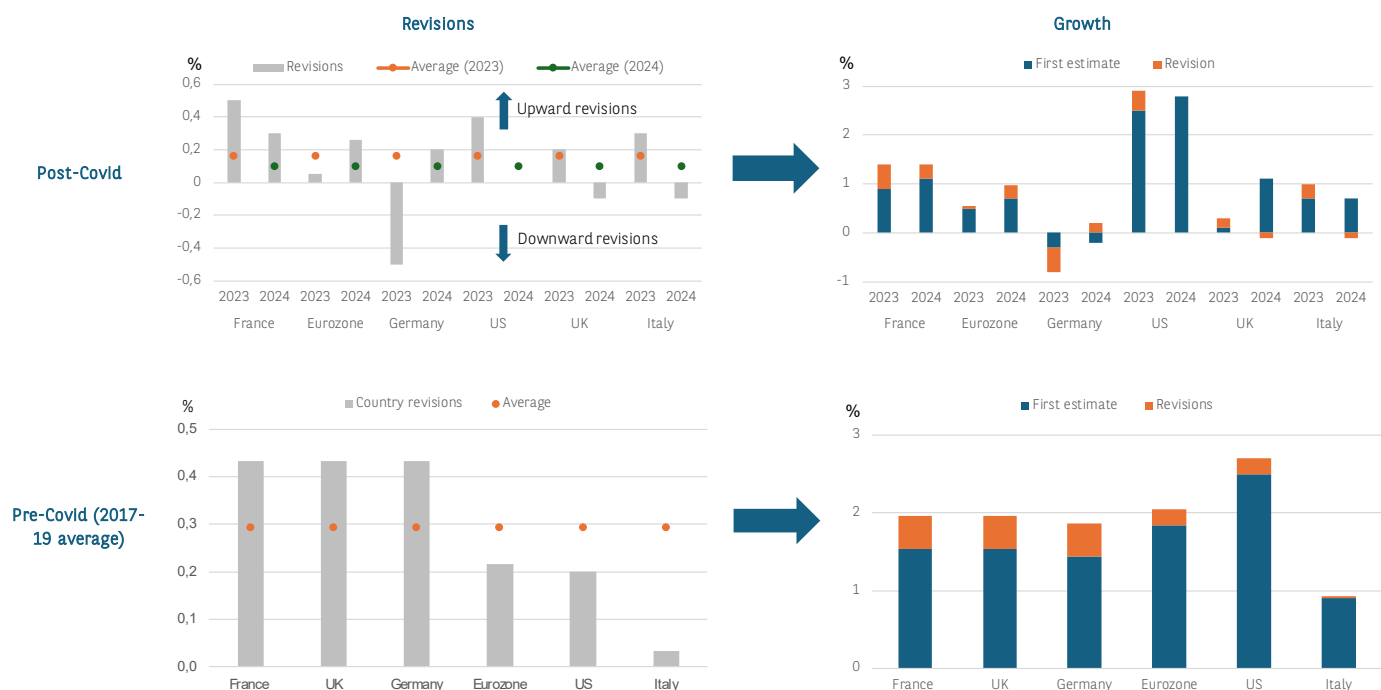
There have been many shocks in recent years — some of them significant — which have made estimating national accounts a complicated task for statistical agencies. The downward revision of French growth figures for the first and second quarters of 2026 (from -0.1% to -0.2% QoQ and from 0.2% to 0% QoQ, respectively) is a recent example. Why? Primarily because one of the most severe droughts in history had a greater impact on agricultural production than initially estimated. This impact was hard to gauge when the first estimate was released.

The most significant revisions occur much later and are often upward revisions

Growth figures can be revised several years later. By then, the data are more comprehensive. Also, it is easier to distinguish long-term trends from cyclical shocks. Therefore, growth can finally surprise on the upside, particularly due to the role played by innovation, which improves the quality of goods and services and/or lowers their prices.

However, the distinction between volume and price is central to GDP statistics. Most of the data which provide the basis for these statistics come from value-based series, such as turnover figures. In order to publish volume-growth figures, statistical agencies must choose a base year — *i.e.* the estimated price level during that year — and then calculate the change between that base year and subsequent years. This chained-index methodology is used to calculate volume series at constant prices.

Growth figures are usually revised upward: more in Europe than in the US, particularly in France



SOURCE: NATIONAL STATISTICAL INSTITUTES, BNP PARIBAS

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But innovation, which improves the quality of goods and services, means that the price for a given quality decreases. By how much, exactly? Statistical agencies face difficulties when trying to take it into account, until they have more information. This is why their estimates become more accurate over time — often two years later — when the available data are more comprehensive. This usually leads them to revise GDP growth upwards, as shown in our chart, though the size of these revisions varies by country and period.

France enjoys the strongest upward revisions

The size of the revisions is, on average, more moderate for the years 2023–24 than it was before the COVID-19 pandemic. However, it is still significant for some countries. This is the case for France, which ranks first irrespective of the period. We see this result as another positive sign of the ongoing transformation of the French economy, which is also reflected in the increase in business creations ([see our analysis](#)). For example, in 2023, growth reached 1.4% after revision, an upward revision of 0.5 percentage points.

Apart from 2023 — which was an exceptional year when Germany was hit harder by the energy crisis than any other country — these positive revisions are more pronounced in Europe than in the United States. This is not closing the growth gap between the two regions, but it is narrowing it somewhat. The development of innovations and their contribution to growth may thus be harder to capture, especially in the short term, but they have a positive impact.

Growth figures reflect, in particular, long-term trends: structural GDP growth, or so-called “potential” growth. Our analysis shows that, as soon as statistical agencies are able to estimate it more accurately, growth figures come out higher.

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CENTRAL BANK INDEPENDENCE IS FACING ITS BIGGEST STRESS TEST OF THIS CENTURY

Central bank independence is not as hard-wired in modern institutions as they might appear to anyone born after the 1970s. That it went largely unchallenged in its first thirty years of history owes much to economic circumstances. But in today's world of supply shock-driven inflation and large public debts, central banks face a much harder task. A series of controversial decisions since the global financial crisis, and years of above-target inflation leaves them more vulnerable than ever to political attacks on their independence. It is imperative to defend it, as there will be large costs to pay if it is lost.

THE FIRST STRESS TEST IN OVER 30 YEARS

For anyone born after the 1970s, central bank independence has felt like part of the permanent architecture of modern governance. Like the separation of the branches of government or the between church and state, the idea that setting interest rates should be taken out of the hands of politicians became an unquestioned consensus across advanced democracies and, increasingly, beyond them.

Yet central bank independence is remarkably recent. For most of the twentieth century, treasuries and finance ministries dictated or heavily influenced monetary policy decisions to try and juice up growth ahead of elections or otherwise avoid painful decisions. Time and again, the lesson had to be re-learned: when politicians control the printing press, the result is chronic inflation and volatile growth^[1]. Over the past three decades, granting central banks operational autonomy became the global standard. To elected policymakers the setting of goals: always, price stability, sometimes a growth or full employment mandate alongside; to technocrats with long fixed terms in office the freedom to raise or lower borrowing costs as they saw fit, regardless of the political calendar.

For thirty years, this model enjoyed limited pushback. Not that central banking was easy. True, the so-called "Great Moderation" period (from the mid-1980s to the Global Financial Crisis of 2007-8) owed both to good luck (globalization keeping prices down and IT driving productivity up) and as to good policies. But there were still a multitude of crises to deal with — sovereign defaults, balance of payments crises, financial institutions going belly up, even before the GFC, and then a long period of below target inflation, followed by the most unexpected shock of all times: a global pandemic that shut down the global economy. Some central banks did better than others in meeting their assigned goals during these decades, and many central bank decisions were heavily criticized, but by and large, inflation wasn't a top-of-mind issue for the public, and (consequently?) central bank independence itself was just not questioned.

But that era is over. Today, central bank independence is facing the most dangerous stress test of its history, caught between the anvil of challenging economic circumstances and the hammer of political opportunism.

THE ECONOMIC ANVIL: HIGH PUBLIC DEBT AND SUPPLY SHOCKS

Central bank independence exists primarily to guard against two temptations from elected governments: inflating away runaway public debt (by printing money to buy the said debt) and choosing growth whenever there is a short-term tradeoff between it and price stability. For decades, advanced economies rarely had to confront either in extreme forms. Today, both have returned.

First is the sheer scale of sovereign debt. Across the G7, government debt-to-GDP ratios have surged to heights unseen outside of wartime and are generally on track to keep growing based on current policies (see Chart 1).

Public debts are at post war highs across the G7

General Government Gross Debt (% of GDP)

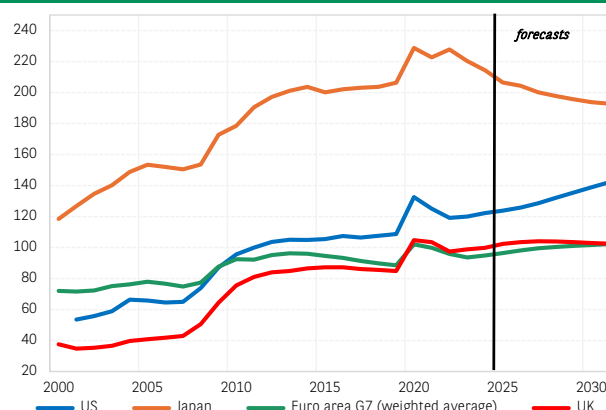


CHART 1

SOURCE: IMF, BNP PARIBAS

Long term interest rates are at multi-decade highs

DM 10-year government yields (%)

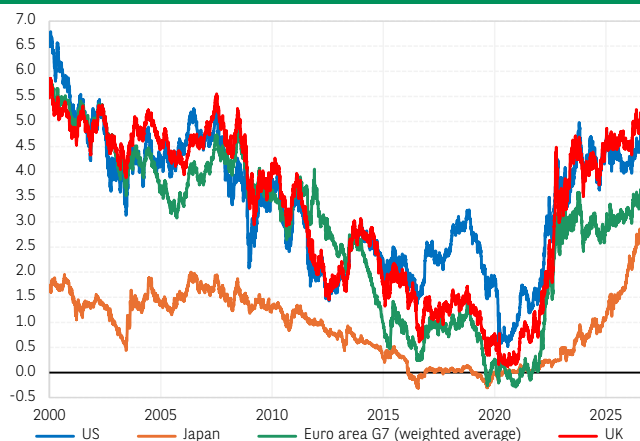


CHART 2

SOURCE: MACROBOND, BNP PARIBAS

When interest rates were very low, or well below the economy's growth rate, carrying this debt was relatively painless. But sovereign borrowing costs have skyrocketed in recent years (see Chart 2), owing to a combination of central bank policies and, more recently, greater competition for capital all across the global economy as both public and private sector face new investment needs (in defence, AI, supply chains risk-proofing) in addition to old ones (energy transition, ageing societies).



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Growing fiscal efforts are required to reduce debt/GDP ratios

"r minus g" - Difference between the effective interest rate on government debt and nominal growth rate (pp)

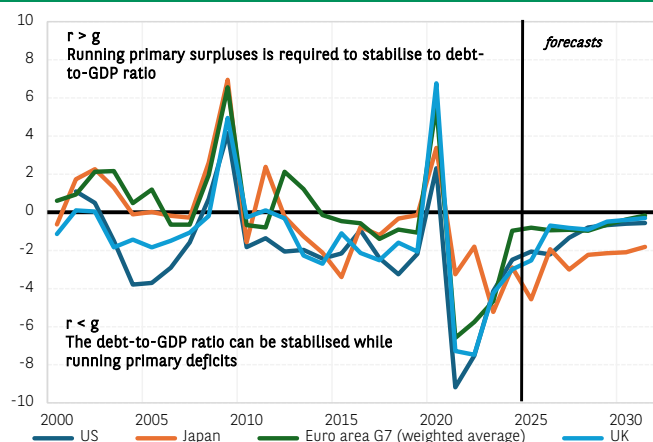


CHART 3

SOURCE: IMF, BNP PARIBAS CALCULATIONS

As growth rates have not, the fiscal effort needed to obtain a declining debt/GDP ratio is growing (see Chart 3).

Share of government debt with short-term residual maturity (% of outstanding)

	2000	2025
United States	35.0	35.4
Japan	-	13.4
Eurozone G7 (weighted average)	21.7	17.7
United Kingdom	6.7	6.3

CHART 4

SOURCE: ECB, NATIONAL SOURCES

This is the essence of "fiscal dominance", a scenario where the central bank is under pressure to lower interest rates or use its balance sheet to help fund government spending. Note that the more a government funds its debt at the short end of the yield curve, the more it is sensitive to central bank rate setting. As it happens, the average maturity of government debt has been falling across most G7 countries, especially in the US. And recent announcements by the US Treasury Secretary indicate plans to accelerate this trend through much higher buybacks of longer-dated debt to be financed by short-term debt issuance.

Second is the nature of today's inflation. From the 1980s to the COVID pandemic, inflation was driven by demand shocks, with excessive demand causing too high inflation and insufficient demand causing too low inflation. But more recently, price spikes have been driven by supply bottlenecks — whether stemming from geopolitical conflict, climate events, or health emergencies. We can expect this pattern of repeated and overlapping supply shocks to persist as long as today's perturbed geopolitical and natural environment.

When central banks act to protect price stability under these conditions, it is much harder for them to deliver a painless landing. Raising interest rates does not replace the missing goods; the best it can do is to prevent a wage-price spiral from taking hold. And while a credible central bank may not need to act much, they may still have to make decisions that directly hurt all borrowers — whether it be households, governments or businesses, making them easy targets for blame.

THE POLITICAL ASSAULT

If that wasn't challenging enough, the relative political consensus that once shielded central bankers from interference is showing cracks. This is the result of several waves of controversial decisions by central banks, first to help stabilise the financial system in the wake of the global financial crisis, then to fight inflation from below target with large balance sheet expansions to purchase financial assets during the second half of the 2010s^[2], and finally several years of inflation well-above 2%.

In the United States, President Trump has been relentlessly attacking the Federal Reserve and its leadership out of anger that they have not cut interest rates more. Financial markets have been unsure whether the Chairman he appointed will deliver the policy tightening that appears likely to be needed to restore price stability. In Japan, political leaders have publicly urged the Bank of Japan to keep yields low to support the government's spending plans, complicating the bank's efforts to normalize policy. In both cases, markets have reacted by pushing the currency down and term premium up, acting as a guardrail for now. In response, Fed Chair Warsh's delivered a speech at the Jackson Hole Symposium last week that assuaged doubts about his commitment to price stability, for now.

But the erosion of institutional restraints is not confined to these countries. In the UK and Canada, prominent opposition party leaders have been virulent in their criticism of central bankers, framing them as unaccountable technocrats serving global financial elites at the expense of ordinary working citizens. Meanwhile in France, one of the leading candidates in the upcoming presidential election is advocating monetizing French public debt by having the eurosystème "cancel" the roughly 18% of it that it currently holds. This cannot happen as it would violate several fundamental legal underpinnings of the European Monetary Union^[3]. But any Eurozone government pushing for this would fundamentally undermine trust in its sovereign debt and in the euro, leading to a loss of value for both alongside borrowing costs—the same market reaction observed recently with US and Japanese government bonds and currencies, but on a much larger scale.

DEFENDING THE INSTITUTIONAL SHIELD

When a central bank is seen as not entirely free to do what is needed to deliver price stability, inflation expectations can become unanchored. Financial markets demand higher risk premiums, bond yields climb, and everyday borrowing costs from thirty-year mortgages to consumer credit and corporate loans rise, slowing down growth. With sovereign debt now traded predominantly by impatient investors like hedge funds rather than more patient ones like central bank reserve managers or pension funds, market reactions are brutal and could be unforgiving^[4]. Once lost, credibility takes not only time but action to restore, demanding a higher economic cost to restore price stability than would be the case under a fully credible central bank.

Independent central banks are not unaccountable, indeed the opposite. More than ever, they must actively explain their choices in plain, accessible language, demonstrating to the public why resisting instant pain relief today prevents systemic economic decay tomorrow.



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Simultaneously, business leaders, institutional investors, independent researchers and thoughtful policymakers, while free to comment and criticise, must stand as a vocal buffer against political encroachment. Central bank independence was never a natural law; it is an institutional compromise born out of painful experience. If we allow it to fail this stress test, there will be a heavy economic price to pay just around the corner.

Surrendering central bank autonomy will not solve structural budget deficits, lower grocery bills, or resolve geopolitical turmoil. It will simply remove a tried and tested institutional speed limit on short-sighted and ill-advised macroeconomic management.

Isabelle Mateos y Lago

[1] See for example [Central Bank Independence and Macroeconomic Performance: Some comparative evidence](#), Alberto Alesina and Lawrence Summers, 1993.

[2] This was dubbed "quantitative easing" and was adopted by most advanced economies' central banks to provide additional monetary easing after they had reached the point where they could not lower the policy rate further; While a large proportion of the financial assets purchased consisted of government bonds, these were exclusively driven by the needs of monetary policy as independently determined by these central banks.

[3] The principles of no debt monetization, no bail-out and central bank independence, set in Articles 123, 125 and 130 of the Treaty on the Functioning of the EU.

[4] See Bank of International Settlements, Annual [Economic Report 2026, Chapter II. High public debt and shifting financial markets: challenges for central banks](#)



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Exceptionally, this EcoWeek covers the developments of the past month rather than just the last week.

ADVANCED ECONOMIES

EUROZONE

Survey data are improving. The manufacturing PMI hit 52.8 in August (+0.9 pt), its highest since May 2022, driven by employment and new orders, with solid gains in both France and Germany. Services remain stable and healthy (51.7). Despite the ECB increasing its key interest rates in June for the first time in nearly three years, loans to households increased to 3.1% y/y in July, up from 3.0% in June. Loans to NFCs also rose to 4.4% y/y from 4%. Real GDP for Q2 was confirmed at 0.4% q/q while employment rose again (+0.1% q/q).

The European Commission Sentiment surveys were solid in August, corroborating the PMI data: the ESI rose for the fourth month running (+1.3 pt to 98.4) to above February's level. The industry, services and retail indices all recorded solid improvements, led by a notable upturn in the employment indices (especially in industry where the indices recorded the biggest m/m jump since July 2021, to a three-year high). Indices in construction remain weak though.

Inflation edged up in July but remains energy driven. Headline CPI rose to 2.9% y/y and core CPI to 2.5% y/y, both broadly in line with consensus. Input and output price indices fell again in August but are still well above their pre-Middle East conflict levels. Household inflation expectations eased to 2.9% at one year and remain anchored at 2.4% at five years. Negotiated wages slowed to 2.4% y/y in Q2 and labour costs to 3.0%, the lowest since late 2021. Producer prices decelerated sharply (+4.6% y/y from +5.9%), largely on falling energy prices.

These data keep the ECB on track for a rate hike in September, now fully priced by markets.

France

Weaker than expected growth in Q2 but Q3 data is net positive so far. GDP growth in Q1 was revised down from -0.1% to -0.2% and Q2 from 0.2% to 0%, reducing the growth carryover as of mid-year to 0.3% (from 0.5%). The main drivers are a downward revision of agricultural output and an upward revision of the services deflator. In parallel, households' purchasing power decreased by 0.6% q/q in Q2.

Nevertheless, household consumption of goods increased by 0.5% m/m in July, adding to positive data recorded earlier on the business climate – notably, the Banque de France August survey signaled good momentum in the industrial sector, while INSEE business climate improved to 98 in August (100 being its long-term average), driven by manufacturing (103; +2 m/m), and a services index back to 100 for the first time since October 2024. The signal from S&P flash PMI survey was more mixed. In all, our Nowcast suggests a recovery in Q3, to 0.3% q/q although the negative growth impact of the heatwaves and fires could be about -0.1pp.

Inflation increased as expected. August harmonized inflation increased to 2.7% y/y from 2.4% y/y in July mainly driven by higher energy prices (the previous peak was 2.8% in May). Producer prices went up from 2.8% y/y in June to 3.4% y/y in July

Germany

Positive growth momentum confirmed across the board. Q2 GDP growth was revised up to +0.3% q/q (from +0.2%) driven by stronger than expected exports. The Ifo August Business climate rose to 88.8 (+2.1pts), its highest in over a year, with manufacturers standing out as most optimistic, especially manufacturers of "textile", "computer, electronic and optical products, electrical equipment", "other transport equipment" and "other manufacturing" (riding the wave of investment in data centers, German manufacturers of electrical equipment and IT and electronics companies are particularly optimistic). August PMIs signaled continued expansion, with the composite index at 51 (-0.3 m/m) and manufacturing rising to 56.7 (+2 m/m), its highest level since early 2022. Input prices slowed down a bit (-0.2 m/m) while output prices index stayed at the same level it was in July and close to the June level. Services business activity stayed in contraction territory (-1.3 m/m to 48.5). However, a second successive slight uptick in new business and a renewed rise in employment in the sector are good signs.

UNITED KINGDOM

Solid growth and inflation tame enough to keep the BOE on hold for now. The UK economy grew by 0.4% q/q in Q2, a slight deceleration from the 0.6% seen in Q1. Growth was primarily supported by the services (+0.5%) and construction (+0.3%) sectors. In August, the Flash PMI Composite reached a four-month high of 52.5, with strength in services PMI at 52.8 (a 6-month high), while the manufacturing PMI eased to 51.

After hitting a 15-month low of 2.6% in June, headline CPI rose to 2.9% y/y in July. This uptick was primarily driven by a 13% surge in the household energy price cap. While services inflation eased to 3.4%, core inflation remained steady at 2.6%. Input prices fell 1.7% m/m (annual increase of 4.9%), while output prices rose 0.2% m/m (annual increase of 3.1%). August PMIs indicated that inflationary pressures resurged as input costs accelerated for the first time in four months. The Bank of England held the Bank Rate at 3.75% (3rd of August). The decision reflected a 6-3 split, with three members (including Chief Economist Huw Pill) advocating for a 25bp hike.

UNITED STATES

Sticky inflation dominates concerns amid resilient activity

Headline CPI inflation edged down to 3.4% y/y in July while core PCE, the Fed's preferred gauge, was unchanged at 3.3% y/y (in line with expectations). Headline CPI came down 0.1pp from June y/y thanks to energy prices. Core CPI inflation fell to 2.5% y/y (-0.1pp), its lowest since February 2025, with services remaining relatively sticky. PPI inflation also came in softer than expected, at 4.7% y/y (down 0.8pp, consensus: 4.9%). However, PCE inflation came in above expectations, accelerating to 0.2% m/m (prior and consensus: 0.1%) as the disinflationary impulse from energy faded (-1.5% m/m after -5.9% the month before). The annual rate held at 3.7% (consensus: 3.6%). Core PCE inflation was 0.3% m/m, up 0.1pp from June.

Activity undershot expectations but remains buoyant. GDP growth slowed to 1.5% annualized in Q2 (down from 2.1% in Q1), with the headline dragged down by negative contributions from net trade and



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government. However, consumer spending and business investment grew 4.4% AR, the fastest pace since Q1 2023. Industrial production advanced 0.2% m/m, below consensus expectations owing to a dip in the automotive component (-2.1% m/m). By contrast, the aerospace and electronics sectors remained solid growth drivers. However, capital goods orders excluding defence and aircraft, a proxy for private capex intentions, slowed markedly to 0.2% m/m in July (prior: 1.7%, consensus: 0.9%).

Poor payrolls but resilient labour market. Nonfarm payrolls came in well below expectations in July, contracting by -23k m/m (vs. consensus: 85k) – its first negative print since February – with the two prior months revised down a cumulative 103k. The drop was primarily driven by local government employment (down 57k), whereas private payrolls held steady at 30k. The unemployment rate, meanwhile, ticked down to 4.1% (down 0.1pp, consensus: 4.2%), driven entirely by a decrease in participation. Wage growth was soft; average hourly earnings rose just 0.1% m/m (-0.2pp), taking the annual pace to 3.2%, the lowest since 2021.

Fed credibility questioned, then restored, for now. While the late July FOMC press conference led to renewed questions about the Fed's commitment to its 2% inflation target (contributing to upward pressure on long-term bond yields and a weaker US dollar), the minutes of that meeting actually indicated healthy willingness to raise rates should inflation fail to decline, and the Fed Chair's speech at Jackson Hole further anchored this expectation. As a result, expectations of a rate hike on September 16 rose back from a trough of 35% to 55%.

Mini-trade war with Canada. Following a breakdown in US-Canada trade talks, tariffs of up to 50% are set to be implemented by Canada on 8 September on USD 20bn of US imports, in response to a similar measure announced by Washington. For now, only 5% on US-Canada trade is covered by these tariffs, but President Trump has since threatened to lift tariffs on Canadian cars to 50%. The White House has approved tariffs on drones and their components, ranging from 10–15% (incl. UK; EU) to 100% ("of a certain size or with certain capabilities particularly sensitive for national security purposes"). Additionally, the administration is reportedly considering an additional 7.5% tariff on goods from China due to "excess manufacturing capacity" and has announced the set-up of an "AI Detective Border" to tackle "transshipment"—that is, goods from China using alternative routes (countries) to circumvent higher tariffs.

Coming up: August Nonfarm Payrolls (Friday), August ISM Manufacturing (Tuesday) and Non-Manufacturing (Thursday), July JOLTS Job Openings (Tuesday), Fed Beige Book (Wednesday), July Trade Balance (Thursday).

JAPAN

GDP growth disappointing but resilient, while manufacturing strength persists. GDP advanced by 0.3% q/q in Q2, down from 0.4% in Q1 and well below expectations (0.5%). The softness stems mainly from a further slippage in business investment (down 1.2% q/q, following a 1% Q1 dip) and flat consumer spending. Foreign trade, driven by a decline in imports, contributed very positively. **Meanwhile, industrial production grew 1.9% m/m in June** (up 1.8pp). This largest monthly increase since January was driven by transportation equipment and electronics. The Manufacturing PMI rose to 55.1 (up 0.6 m/m) in August, with the new orders gauge hitting a 9-year high of 56.0 (up 1.6 m/m) driven by exports (56.2, up 2.6 m/m).

EMERGING ECONOMIES

Emerging countries have continued to weather the global energy shock relatively well. Activity has been resilient, helped by the surging demand for AI-related goods. The inflation rise remained temporary, and inflation eased in June and July in most countries. Average CPI inflation in EMs reached 6.1% y/y in July vs. 6.4% in June. Food price inflation has accelerated recently in a few countries (such as India, Egypt and Türkiye) while it remained negative in countries such as China, Poland and Hungary. Upside risks are high due to El Nino and recent heatwaves. EM financial markets have also withstood well the recent sell-off in developed bond markets. Since end-June, only Türkiye and Poland have faced a greater rise in LT domestic government bond yields than UST and Bunds.

ASIA

Central banks on pause, except Philippines and South Korea. Inflationary pressures have remained subdued or eased in Indonesia, Malaysia and Thailand, allowing their central banks to maintain relatively accommodative stances. In the Philippines, inflation has remained above target, prompting the BSP to raise policy rate further (+25bp to 5%). In South Korea, strong growth momentum and above-target inflation led the central bank to hike for a second consecutive month (+25bp to 3%).

China: Following the slowdown in July (industrial production: +4.5% y/y vs. +5.3% in June and services activity: +4.3% y/y vs. +4.7% in June), growth remained sluggish in August. Official PMIs stayed below 50 in both manufacturing (49.8 in August vs. 49.2 in July) and services (49.0 in July and August). On the demand side, export growth was still very strong (which drove the slight uptick in the manufacturing PMI) whereas retail sales barely increased during the summer (+0.1% y/y in volume in July).

EMERGING EUROPE

Monetary policy status quo over the summer; Hungary is the exception with its third consecutive policy rate cut.

LATIN AMERICA

Mixed growth performance: Brazil's economy lost momentum entering Q3. **Mexico** rebounded in Q2 (2.1% y/y) but entered Q3 on a softer footing. **Argentina's** recovery remains uneven, with most sectors outside mining and agriculture struggling. **Colombia** continued to grow strongly (3.5% y/y in Q2) on robust domestic demand, while **Chile** recorded a second consecutive quarter of contraction.

COMMODITIES

Stability for crude oil but growing price pressures on products and European gas. During August, the oil market managed to reach a precarious equilibrium, containing prices. Brent oil prices averaged 88 \$/b and end-of-month prices remained unchanged in August vs. July (around 89 \$/b). By contrast, **refined products markets are increasingly tense**, especially in the US where diesel crack spread reached more than 100 \$/b (August 22nd) for the first time ever. Meanwhile, **European gas prices (TTF) reached their highest since Jan 2023 at 67 €/MWh** (August 27th: +15% m/m, +74% compared to pre-war level), while European gas inventories remain at seasonally low levels. Average EU wholesale electricity prices rose sharply during August.



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